

Chapter 7: Challenge and Disqualification on the Ground of Impartiality Issues

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I Introduction

7-001 The requirement of impartiality implies the absence of bias or predisposition towards one of the parties. Together with the requirement of independence, it

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serves the purpose of protecting parties against arbitrators being influenced by factors other than those related to the merits of the case.⁽¹⁾ Although impartiality is an abstract concept that is difficult to measure, it has been described as an 'absolutely inalienable and predominant standard' in international arbitration. An arbitrator 'who is impartial but not wholly independent may be qualified, while an arbitrator who is not impartial must be disqualified'.⁽²⁾

7-002 In international arbitration in general and in investment arbitration in particular, the impartiality of the arbitrators is of great concern, especially in relation to party-appointed arbitrators. It is common knowledge that parties select their arbitrator to maximize their chances of prevailing.⁽³⁾ In this selection process, parties screen the past and present professional activities of the potential arbitrator, the awards of the Tribunals on which he/she has served, the articles or books that he/she has published, the personality of the arbitrator, the fact whether he/she has already served with other arbitrators on the Tribunal, etc.⁽⁴⁾ In each of these areas, parties are trying to look for elements that they perceive as positive and that may swing the arbitrator's assessment of the case in their favour.⁽⁵⁾ When these elements are not related

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to the merits of the case in which the arbitrator will be or is serving and these elements risk to influence his/her judgment, they may provide a ground for challenging and disqualifying the arbitrator.

II Dual Role of the Arbitrator

A Arbitrator and Counsel

7-003 The number of arbitration practitioners who exclusively sit as arbitrators is limited. There are only a handful of well-known international arbitrators that are appointed frequently enough not to combine their adjudicatory work with any other professional activities. Most arbitrators, however, combine their arbitration work with acting as counsel in other arbitrations or in court proceedings. This dual role may give rise to conflicts, especially in the international investment arbitration context.

First, in investment arbitration, the same legal issues are litigated on a regular basis. This is not surprising given that the terms of Bilateral Investment Treaties and the contents of the various dispute settlement mechanisms often bear a close resemblance.

Secondly, the number of experts practicing in investment arbitration, both as an arbitrator and as counsel, is relatively few.

requesting investment bank did *not* rely on the usual 'evident partiality' prong of Section 10(a)(2) of the Federal Arbitration Act but on the catch-all Section 10(a)(3) for 'other behaviour by which the rights of any party have been prejudiced'. The reason for this swift was that to date the *vacatur* decisions, applying the 'evident partiality' test, always concerned the non-disclosure of a relationship of the arbitrator with a party, counsel or another arbitrator. In the present case, there was no such relationship. The request to vacate the award was based on the fact that, whereas the arbitrator's disclosure report suggested that he had worked as an expert equally for customers acting against financial firms and for financial firms in cases against customers, in reality he had primarily worked for customers arbitrating against financial firms. Attacking the arbitrator's experience as 'onesided', *Credit Suisse* alleged that the arbitrator had misled it when he had described his experience as representing 'both sides' and had listed only one representation on each side.

The Court dismissed the request. First, it determined that the bank's characterisation of the arbitrator's experience was incomplete in two aspects: (1) it only described times the arbitrator had testified and did not include other expert or consulting work; and (2) it did not include the arbitrator's work in the three most recent years. The Court continued that, given the 'very high showing' necessary to vacate an award, *Credit Suisse* should have presented more evidence to support its contentions about the arbitrator's background, for example by requesting for discovery from the arbitrator. However, it had failed to do so, throughout the arbitration and the court proceedings. The Court concluded that the bank had not shown that the arbitrator's experience was 'one-sided'. In these circumstances, the arbitrator's alleged failure to disclose his 'full' experience could not constitute 'misbehaviour' of any sort, let alone that it could justify the *vacatur* of the award. ⁽²¹¹⁾

VII Nationality

A ICSID

7-158 The ICSID Secretariat assists the parties in the appointment of arbitrators and the constitution of Tribunals. By doing so, it makes sure that the nationality

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requirements are met and that no arbitrators are appointed that do not meet these requirements. As a result, only two challenges have been made so far on the ground of the arbitrator's nationality.

7-159 In *Olguín v. Paraguay*, the State proposed the disqualification of Mr Olguín's party-appointed arbitrator. The latter was a national of the United States of America and Mr Olguín was of Peruvian nationality. However, a couple of weeks after the constitution of the Tribunal, Paraguay discovered that Mr Olguín held the American nationality in addition to his Peruvian nationality. As Paraguay had not consented to Mr Olguín appointing an American arbitrator, it brought a challenge on this ground. ⁽²¹²⁾ The arbitrator resigned. ⁽²¹³⁾

7-160 In *TANESCO v. IPTL II*, *TANESCO* challenged the English Chairman of the Tribunal on the ground that a third party, based in Hong Kong, requested to intervene in the proceedings. ⁽²¹⁴⁾ The third party was controlled by an English company and the arbitration agreement on which the ICSID jurisdiction was based precluded arbitrators of the same nationality as the parties or as the shareholders thereof holding at least 30% of the shares. The third party contended that it had taken over the contractual rights of *IPTL* and it had filed a request to intervene in the arbitration. *TANESCO* challenged the Chairman on the ground that, as an English national, he was ineligible to hear the request for intervention made by an English controlled third party. The challenge was never heard as the arbitration was discontinued in accordance with Article 44 of the ICSID Convention. ⁽²¹⁵⁾

B Other Rules

7-161 In an UNCITRAL arbitration, in which the LCIA was acting as appointing authority, the respondent challenged the LCIA-appointed sole arbitrator on the ground that he was of the same nationality as claimant's counsel. The President of the LCIA Court, acting alone, dismissed the challenge. He determined that it would be at odds with the UNCITRAL Rules, and with international arbitration practice more generally, to disqualify an arbitrator on the sole basis that he/she was of the same nationality as a legal representative of a party to the dispute. ⁽²¹⁶⁾

7-162 In an ICC arbitration, the respondent sought the disqualification of the Chairman of the Tribunal on the basis that he had received his education and had lived and worked in the country in which the claimant was incorporated for more than twelve

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years. The challenging respondent argued that such a strong relationship with the claimant's country affected the Chairman's independence. However, the Chairman's *curriculum vitae* indicated that he had only spent two years of his education in the country and then nine to ten years as a lawyer with different international law firms in the same location. He did not share the same nationality with the claimant. The ICC Court dismissed the challenge. ⁽²¹⁷⁾

7-163 In an UNCITRAL arbitration, in which the LCIA was acting as appointing authority, the Indian respondent challenged the claimant's party-appointed arbitrator, *inter alia*, on the ground that he had also the Indian nationality and had been, six years prior to the commencement of the arbitration, the managing director of a competitor of the respondent. In a brief decision, a three-member LCIA division rejected the challenge. ⁽²¹⁸⁾

- 194) M. Ball, 'Probity Deconstructed: How Helpful, Really, are the New International Bar Association Guidelines on Conflicts of Interest in International Arbitration?', 21(3) *Arb. Int.* (2005), 335.
- 195) IBA Guidelines, Part II: Practical Application of the General Standards, Note 5. See also Case *Republic of Poland v. Eureka B.V.*, Court of Appeal of Brussels, R.G. No. 2007/AR/70, Decision of 29 October 2007, unpublished, on file with the author.
- 196) Article 4.1 stated: 'A prospective arbitrator should disclose all facts or circumstances that may give rise to justifiable doubts as to his impartiality or independence. Failure to make such disclosure creates an appearance of bias, and may of itself be a ground for disqualification even though the non-disclosed facts or circumstances would not of themselves justify disqualification'.
- 197) Section VIII.2 of the WTO Rules of Conduct.
- 198) LCIA Reference No. 81160, Decision of 28 August 2009, digest in 23(2) *Arb. Int.* (2011), 442, paras 4-16 to 4-20.
- 199) For example, *Qatar v. Creighton*, Court of Appeal of Paris, Decision of 16 March 1999, 2 *Rev. Arb.* (1999), 308. *SA Fretal v. SA ITM Entreprises*, Court of Appeal of Paris, Decision of 28 October 1999, 2 *Rev. Arb.* (2000), 299.
- 200) Decision of 12 January 1999, 2 *Rev. Arb.* (1999), 381
- 201) Court of Appeal of Paris, Decision of 29 January 2004, 3 *Rev. Arb.* (2005), 709. See also Case No. 09-68997, *Somoclest Bâtiment v. DV Construction*, French Supreme Court, Decision of 20 October 2010, at <<http://legifrance.gouv.fr>> and Case No. 09-68131, *Epoux X v. Société Prodim*, French Supreme Court, Decision of 20 October 2010, at <<http://legifrance.gouv.fr>>.
- 202) Case No. 09/28537, Decision of 10 March 2011, reported on in Vol. IX *ITA Newsletter* (June 2011).
- 203) Court of Appeal of Paris, Decision of 17 February 2005, 3 *Rev. Arb.* (2005), 716. The arbitrator had been appointed three or four times by the appointing party. The Court also took into account that the number of arbitration specialists in the country of the appointing party was limited and that the other arbitrations to which the arbitrator had been appointed were unrelated to the present arbitration.
- 204) Case No. T-156-09, Decision of 9 June 2010, unofficial translation at <http://www.sccinstitute.com/filearchive/3/36912/Översättning%20HDs%20dom%20T%20156-09_101013_1.pdf>. See also *Rapla Invest AB in liquidation v. TNK Trade Limited (Cyprus)*, Svea Court of Appeal, Decision of 7 December 2006, 1 *Stockholm Int. Arb. Rev.* (2007), 132 in which the Court held that 'it would have been appropriate for the arbitrator to disclose' his relation with one of the parties, but that 'this failure is not such that a situation that harms trust can be deemed to have arisen as a result of the failure'.
- 205) Case No. 4P188/2001, *X S.A. v. Y*, Decision of 15 October 2001, 2 *ASA Bull.* (2002), 321.
- 206) Before bringing this action, *AT&T* had challenged the Chairman before the ICC Court. That challenge was rejected on 24 February 1999.
- 207) [2000] 2 *All E.R.* (Comm) 625; [2000] 2 *Lloyd's Rep.* 127.
- 208) Decision of 18 November 1968, 393 U.S. 145, 89 S.Ct.337.
- 209) See for example *Olson v. Merrill Lynch, Pierce, Fenner & Smith*, United States Court of Appeals, Fifth Circuit, 51 F.3d 157, 159; *Applied Industrial Materials Corp. v. Ovalar Makine Ticaret*, United States Court of Appeals, Second Circuit, Decision of 9 July 2007, 492 F.3d 132; *New Regency Productions Inc. v. Nippon Herald Films Inc.*, United States Court of Appeals, Ninth Circuit, Decision of 4 September 2007, 501 F.3d 1101; Case 1:09-cv-09531-SAS, *Scandinavian Reinsurance Company Limited v. St Paul Fire & Marine Insurance and Others*, United States District Court of the Southern District of New York, Decision of 23 February 2010, unpublished, on file with the author.
- 210) See for example, *Cook Indus., Inc. v. C. Itoh & Co. (America)*, United States Court of Appeals, Second Circuit, Decision of 16 September 1971, 449 F.2d 106; *ANR Coal Co. Inc. v. Cogentrix of North Carolina Inc.*, United States Court of Appeals, Fourth Circuit, Decision of 1 April 1999, 173 F.3d 493 (1999); *Positive Software Solutions Inc. v. New Century Mortgage Corp.*, United States Court of Appeals, Fifth Circuit, Decision of 18 January 2007, 476 F.3d 278.
- 211) *STMicroelectronics N.V. v. Credit Suisse Securities (USA) LLC*, United States Court of Appeals, Second Circuit, Decision of 2 June 2011, Docket No. 10-3847-cv, at <<http://www.ca2.uscourts.gov/decisions>>.
- 212) Earlier on in the proceedings, Paraguay had proposed to appoint one of its nationals as party-appointed arbitrator. As Mr Olguín had not consented to this appointment, Paraguay had appointed a national of Brazil.
- 213) Referred to in Award of 26 July 2001, paras 15-16.
- 214) The author was representing TANESCO.
- 215) Procedural Order of the Tribunal of 19 August 2010.
- 216) LCIA Reference No. UN9155, Decision of 10 November 1999, digest in 23 (2) *Arb. Int.* (2011), 332.
- 217) Unpublished, reported on by Whitesell, 'The ICC Court Practice Concerning Challenges of Arbitrators', Case 2, 31.
- 218) *LCIA Reference No. UN97/X11*, Decision of 5 June 1997, digest in 23 (2) *Arb. Int.* (2011), 320.
- 219) LCIA Reference No. 8086, Decision of 30 September 1998, *Ibid.*, 328.
- 220) LCIA Reference No. 5700, Decision of 28 October 2005, *Ibid.*, 374.
- 221) Case 60/1999, unpublished, reported on by Ohrström, 'Decisions by the SCC Institute Regarding Challenge of Arbitrators', 39-42.
- 222) *Transportacion Maritima Mexicana SA v. Société Alsthom*, Decision of 22 May 1987, 4 *Rev. Arb.* (1988), 699.
- 223) *BGHZ* 55, 162 and *BGHZ* 52, 184.
- 224) Challenge Decision of 21 February 2006.
- 225) Challenge Decision of 17 May 2011, paras 93-105.